

Architecture: Procure-to-Pay Financial Cycle

To provide accurate financial reporting (specifically Accounts Payable Aging), an ERP system must separate the receipt of goods, the receipt of the invoice, and the payment of cash into three distinct events.

Here is how the system should handle the Journal Entries (JEs) across the lifecycle of a purchase.

Step 1: The Goods Receipt Note (GRN)

Trigger: Warehouse receives the physical goods.

Your system is already doing this perfectly (as seen in `image_ddb095.png`). The warehouse confirms they have the goods, but Finance hasn't seen a bill yet.

Automated JE:

- **Debit:** Inventory (Asset increases)
- **Credit:** GRNI / Suspense (Temporary Liability increases)

Step 2: The Vendor Invoice (Purchase Invoice)

Trigger: The Supplier emails you their bill (e.g., Net 30 terms).

This is the missing step in the current workflow. Finance receives the invoice and must enter it into the system. They use a "Create Vendor Invoice" screen. On this screen, they select the vendor, and the system asks: "Which unbilled GRNs is this invoice for?" The user selects `GR202607002`.

When they save this Invoice, the system realizes the temporary liability is now a legally binding debt.

Automated JE (Invoice Posting):

- **Debit:** GRNI / Suspense (Clears the temporary liability)
- **Credit:** Accounts Payable (Recognizes the true debt owed to the supplier)

System State: The GRNI account goes back to \$0. The Accounts Payable ledger now shows you owe the supplier money, giving the Finance team 30 days of visibility to plan their cash flow.

Step 3: The Payment Voucher

Trigger: 30 days later, Finance writes a check or transfers cash.

The Finance user opens the **Payment Voucher** screen (`image_ddb37d.png`). However, instead of a "GRN SETTLEMENT" grid, it should be an **"INVOICE SETTLEMENT"** grid. The user selects the Vendor Invoice they created in Step 2.

When they hit "Complete", the system finalizes the cycle.

Automated JE (Payment Posting):

- **Debit:** Accounts Payable (Clears the debt)
- **Credit:** Cash / Bank (Reduces physical cash)

System State: The supplier's AP balance goes back to \$0, and your bank balance accurately reflects the cash leaving the business.